the RBI, the Department of Research and Statistics seemed to be in favour of the consortium but the Department of Banking Operations was against it. It suggested that that banks' role in underwriting work could wait until specialized institutions, better suited to carrying it out, began to run short of resources. Authorizing the SBI to invest in the debentures of limited companies also took away the sense of urgency behind the consortium idea.[13]

The Shroff Committee favoured greater commercial bank support for the longer term credit needs of industry. This proposal was not altogether new as the RBI's Central Board had rejected a similar proposal in February 1948. Shroff had himself advocated it the following year and a similar suggestion had been made by the IMF Mission headed by Edward Bernstein in 1953. The bank took the view that the Indian banking system responded 'adequately to the requirements of trade and industry consistent with the funds at its disposal', and that it was 'well ahead' of banking systems in other countries in this respect.[14]

Also, given the nature of their liabilities, banks could not be expected to make long-term loans to industry. Apart from the risk arising from the relative illiquidity of such assets, it was argued that it was not appropriate for banks to extend long-term loans since their position would then be that of partners who shared 'only the losses and not the profits.'[15]

The bank rejected the Shroff Committee's proposal for medium-term bank lending to industry. But as the RBI *History* (1951–1967) notes, by 1954 the bank itself took steps towards making medium-term credit available, for example, by rediscounting bills maturing within twelve months drawn to finance the production and marketing activities of small and cottage industries, making limited advances (not exceeding ₹3 crores in the aggregate) for periods upto eighteen months to the IFCI, and advancing loans aggregating to a maximum of ₹5 crores for periods upto five years for agricultural purposes. The Department of Research and Statistics was of the view that a provision similar to the latter could be made for industry as well. But the Department of Banking Operations drew attention to the apparent abundance of medium and long-term finance and the poor demand for it. It pointed out that the industrial financial corporations, for example, had failed to use up their resources which were invested in government securities or kept as deposits with banks. Under these conditions, it was